

ECONOMICS PAPER 2
(Mock Test 35)
Question-Answer Book

Time allowed: 1 hour 30 minutes
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7, 9, 11 and 13.
- (2) This paper consists of two sections, A and B. Answer ALL questions in sections A and B.
- (3) Write your answers in the space provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your candidate number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the ‘Time is up’ announcement.

Please stick the barcode label here.

Candidate Number									
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Marker's Use Only	
Marker No.	
Question No.	Marks
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Total	

Section A (30 marks)

1. Karson will soon go to the United Kingdom for studies. The table below shows his order of preference for how to spend his holidays before school starts.

First option: to travel around the United Kingdom

Second option: to work as a summer volunteer at a community centre

Third option: to work as a part-time tutor at a tutoring centre

Explain how each of the following events will affect Karson's opportunity cost of choosing to travel around the United Kingdom respectively.

- (a) During Karson's trip around the United Kingdom, many attractions are closed. (2 marks)

- (b) The tutoring centre raises the wage for part-time tutors. (3 marks)

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2. The HKSAR government purchased the broadcasting rights for the 2024 Paris Olympic Games, allowing members of the public to watch the events for free on various TV channels. Explain whether the TV broadcasts of the 2024 Paris Olympic events were

(a) free goods; (2 marks)

(b) public goods. (3 marks)

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- [illegible]

HKDSE-ECON 2-4 (Mock Test 35)

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4. Mrs. Poon rents a shop in a shopping mall and runs a hair salon in the form of a sole proprietorship.

- (a) Give **ONE** example of a fixed cost incurred in a hair salon. (1 mark)
- (b) State **ONE** advantage and **ONE** disadvantage of forming a sole proprietorship over forming a private limited company. (2 marks)
- (c) Mrs. Poon plans to increase the price of her haircut services. With the aid of a diagram, explain under what condition the total revenue of her hair salon will decrease. (5 marks)

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5. To cope with increasing operating costs, a hotel group decides to charge a fixed administrative fee of \$100 for each room booked.
- (a) To which type of production does the hotel group belong? Explain. (2 marks)
- (b) Using the law of demand, explain how the imposition of the fixed administrative fee will affect guests' average length of stay. (4 marks)
- (c) Explain, with **ONE** example, why a guest who rents a hotel room does not have a full set of private property rights over the room. (2 marks)

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END OF SECTION A

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Section B (40 marks)

6. Mr. Hung runs a hotpot restaurant and has several employees. To save time on training, he assigns each employee a specific task, such as handling ingredients, serving customers, cleaning, etc.
- (a) (i) Explain which type of division of labour Mr. Hung has adopted in his restaurant. (2 marks)
- (ii) Suggest **TWO** possible advantages of practising division of labour. (2 marks)
- (b) Suggest **ONE** example of a variable factor involved in Mr. Hung's restaurant. (1 mark)
- (c) The following is a job advertisement for Mr. Hung's restaurant.

Night shift part-time waiter

Working hours: Every Friday, Saturday and Sunday, 6 pm to 11 pm

Pay: \$60 per hour

From the viewpoint of Mr. Hung, explain **ONE** advantage and **ONE** disadvantage of using the above wage payment method over piece rate. (4 marks)

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7. SWIM Well is a profit-maximising swimming equipment manufacturer. The following table shows the average cost schedule of SWIM Well.

Output (units)	1	2	3	4	5
Average cost (\$)	10	12	14	16	18

- (a) Suppose the market price of the swimming equipment is \$18. Find the profit-maximising output level and the corresponding profit of SWIM Well. (2 marks)
- (b) Suppose the government decides to subsidise the production of sports goods, resulting in a \$4 decrease in production cost per unit of output for SWIM Well. Explain whether the profit-maximising output level and profit of SWIM Well will change. (3 marks)
- (c) Recently, SWIM Well has acquired a swimming school.
- (i) Explain which type of integration the above acquisition was. (2 marks)
- (ii) List **TWO** possible advantages of this acquisition. (2 marks)

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8. In recent years, public dental services in Hong Kong have been facing a shortage of dentists, which has affected the services of government dental clinics. The situation has raised public concerns.

Source A: News extract about the registration arrangements for public dental services

Public dental services in Hong Kong primarily serve civil servants/retired civil servants and their eligible dependents, offering very limited services to the general public in urgent need. As of February 2024, there are 43 government dental clinics in Hong Kong, 11 of which allocate specific sessions each week, commonly referred to as ‘general public (GP) sessions (牙科街症)’, to provide free emergency dental treatment services to members of the public in need.

Starting from 11 June 2024, the preliminary registration time for the GP sessions at 9 government dental clinics has been adjusted from midnight on the day of service to 8 pm the day before. Due to the limited quota, each person can only register once, and the spots are allocated on a first-come, first-served basis. Some citizens have stated that although the registration time has changed, people still must queue up outside the clinics. Those who are unable to register will need to leave the clinic and will not be eligible for treatment at the GP session the following day.

Source B: News extract about the suspension of Civil Servants Dental Service

The Department of Health has been facing a shortage of dentists. According to the government data, the vacancy rate for dentists in the Department of Health reached 29.7% (as of the beginning of July 2024). Due to the shortage of dentists, services at approximately a quarter of the dental clinics providing Civil Servants Dental Service have been suspended. The manpower at school dental clinics and dental clinics in public hospitals has also been affected.

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Source C: Some views on Hong Kong's dental labour market

 A university professor	The Faculty of Dentistry at the University of Hong Kong is currently the only institution that trains dentists in Hong Kong. I think the government should establish a new dental school to increase the number of local dentists.
 A commentator	Even if the government raises the wage rate of public dentists, it is still difficult to alleviate the shortage of dentists faced by the government dental clinics.
 A dental graduate	Adjusting the remuneration of public dentists can attract dental graduates to join public institutions instead of private institutions.

- (a) Refer to Source A. Explain whether the cost for citizens of using free emergency dental treatment services is *necessarily* the same. (3 marks)
- (b) Refer to Sources B and C. With the aid of a supply-demand diagram, explain how the university professor's suggestion in Source C could improve the labour market in public dental services. (7 marks)
- (c) Refer to Source C. Explain whether the statement of the dental graduate is a positive statement or a normative statement. (2 marks)
- (d) Justify the statement of the commentator in Source C using the concept of elasticity of supply/demand. (3 marks)

For part (e), candidates are required to present their answer in essay form. Criteria for marking will include use of sources and economic theories, relevant content, logical presentation and clarity of expression.

- (e) Suppose two proposals are suggested to address the problem of manpower shortage in Hong Kong's public dental services.

Proposal I: To distribute 'dental care vouchers' to subsidise citizens' use of private dental services Proposal II: To hire more non-locally trained dentists to provide public dental services
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With reference to the above sources and your own knowledge in economics, discuss which proposals, proposal I or II, each of the following groups of stakeholders would prefer:

- politicians who are concerned about whether low-income individuals have timely access to dental services
- owners of private dental clinics

(Hint: You may discuss the reasons why a group of stakeholders would prefer a certain proposal OR why that group would not prefer the other proposal.)

(7 marks)

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